CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



CS Disha Lohana (AIR 5,3,14)

CHAPTER – 4

ACCOUNTS AND AUDIT

Q1. Examine the provisions of the Companies Act, 2013 relating to maintenance of the books of account in electronic form under section 128. Dec 2024 (7 Marks)

Ans. The books of account and other relevant books and papers maintained in electronic mode shall:

- remain accessible in India so as to be usable for subsequent reference.
- be retained completely in the format in which they were originally generated, sent or received, or in a format which shall present accurately the information generated, sent or received and the information contained in the electronic records shall remain complete and unaltered.
- Branch Accounts shall be kept intact in line with HO.
- The information in the electronic record of the document shall in a legible form.
- There shall be a proper system for storage, retrieval, display or printout of the electronic records as the Audit Committee, if any, or the Board may deem appropriate and such records shall not be disposed of or rendered unusable, unless permitted by law.
- The back-up of the books of account and other books and papers of the company maintained in electronic mode, including at a place outside India, if any, shall be kept in servers physically located in India on a periodic basis.

The company shall intimate to the Registrar on an annual basis at the time of filing of financial statement:

i. the name of the service provider.
ii. the internet protocol address of service provider.
iii. the location of the service provider (wherever applicable).
iv. where the books of account and other books and papers are maintained on cloud, such address as provided by the service provider.

Q 2. RR Ltd. is a public limited company, having its registered office in Bengaluru, and has been in existence since March, 2010. The following is the summarised position of its financial results for the past four years (in crores):

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Particulars	2019-20	2020-21	2021-22	2022-23
Net worth	303	319	368	503
Turnover	500	490	680	890
Net profit	6.1	6.9	7.9	8.9

In the light of above facts, examine the following issues:

i. **Does the company come within the purview of CSR Regulations?**
ii. **Is CSR Committee required to be formed?**
iii. **What will be the minimum budget for CSR compliance, for the year 2023-24?**
iv. **What are the other CSR obligations under the provisions of the Companies Act, 2013?**

June 2024 (7 Marks)

Ans.

(i) Whether RR Ltd comes within the purview of CSR Regulations

As per section 135(1) of the Companies Act, 2013, the CSR regulations will apply where any of the following conditions are fulfilled:

- Net worth of Rs. 500 crores or more, or
- Turnover of Rs.1000 or more, or
- Net profit of Rs. 5 crores

Since RR Ltd. fulfils the net profit criteria, CSR Regulations will apply.

(ii) Formation of CSR Committee- Yes, where a company comes under the purview of section 135 of the Act, CSR Committee is required to be formed.

However, If the amount a company is required to spend on CSR does not exceed ₹50 lakhs in a financial year, the requirement to constitute a CSR committee is waived. The Board of Directors in such cases discharges the functions of the CSR committee.

(iii) Minimum budget for CSR for 2023-24 - Average profits for the last 3 years = 6.9+7.9+8.9 = 23.7/3 = 7.9 crores .
Minimum budget for CSR for 2023-24 = 2% of 7.9 cr = Rs.15.8 lakhs

(iv) Other CSR obligations

- The amount has to be spent before the end of the financial year.
- The details of the CSR spending have to be furnished in the Report of the Board of

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Directors.

- Form CSR 1 has to be filed.

Q 3. Briefly narrate the provisions of Section 135 of the Companies Act, 2013 relating to minimum contribution w.r.t Corporate Social Responsibilities. Dec 2023 (7 Marks)

Ans. Required minimum contribution of the Companies towards CSR:

(a) The Board of every company shall ensure that the company spends, in every financial year, at least two per cent of the average net profits of the company made during the three immediately preceding financial years, in pursuance of its CSR Policy.

(b) The company shall give preference to the local area and areas around it where it operates, for spending the amount earmarked for CSR activities.

(c) If the company fails to spend such an amount, the Board shall, in its report, specify the reasons for not spending the amount.

(d) Companies may build CSR capacities of their own personnel as well as those of their implementing agencies through Institutions with established track records of at least three financial years. However, such expenditure shall not exceed five percent of total CSR expenditure of the company in one financial year.

Q4. WS ABC Ltd. Manufactures of Tyres of all types of vehicles, is a Public Limited Company manufacturing units, one at Durgapur, West Bengal, Palej, Gujrat and Munnar in Kerala with Corporate office at Kolkata. The company is professionally managed, the promoter being the chairman, only comes in Board meeting and does not interfere in day to day management. The other directors are independent. The company has sales offices and dealers in India.

The financial performance of the company is as follows:

Particulars	2017-18	2018-19	2019-20	2020-21
Turnover	700	650	920	1010
Net worth	402	423	480	530
Net profit	14.5	15.7	16.8	18

Queries:

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(i) Do the company comes under CSR obligation?

(ii) Is CSR committee required?

(iii) What are the other obligations for CSR under the Act?

(iv) What will happen if the stipulated amount is not spent within the year?

(v) What will happen if a project is taken up but full allocated amount is not spent ?

(June 2023) (4+1+1+1+1)

Ans.

(i) Section 135 of the Act provides for the applicability of the CSR provision on corporate. Every company having-

- Net worth of Rs 500 crores or more; or
- Turnover of Rs 1000 crores or more; or
- Net Profit of Rs 5 crores

Therefore, ABC Tyres Ltd. comes under CSR obligation.

(ii) Yes, the CSR Committee is required to be formed as it comes under the purview of Section 135 of the Act.

However, If the amount a company is required to spend on CSR does not exceed ₹50 lakhs in a financial year, the requirement to constitute a CSR committee is waived. The Board of Directors in such cases discharges the functions of the CSR committee

(iii) Other obligations are spending the amount within the financial year. The details have to be disclosed in the Board's Report as annexure. Form CSR 1 needs to be filed.

(iv) The unspent amount will have to be transferred to a special bank account.

(v) If a project is taken up and the full amount is not spent, the amount shall be kept separately for financing which will be called an "ongoing project".

Q5. Mr. Ravinder Nath is Managing Director of ABC Ltd. The Audit is going and there are many issues which the Auditor has pointed out and the same are being clarified by the Company Management but the Auditor is not satisfied with the explanations. MD wants to consult you as the CFO of the Company on how the current Auditor can be removed. Auditor is also not feeling comfortable and has threatened to resign.

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Please advise MD on the legal provisions under the Companies Act, 2013 in respect of the following:

(i) Can the Auditor be removed? Please state the procedure.

(ii) As the Auditor is not satisfied and what if he resigns?

(iii) If the Auditor decides to continue with the assignment and he issues a qualified report on the observations found by him during the course of the Audit.

(June 2023) (4+3+3)

Ans-

(i) The auditor under section 139 may be removed from his office before the expiry of his term only by a special resolution of the Company and after obtaining prior approval of the Central Government by making an application in E-form- ADT-2 and shall be accompanied with the prescribed fees.

The above stated application shall be made to the Central Govt within 30 days of the resolution passed by the Board of Directors.

The Company shall hold the General Meeting within 60 days of receipt of approval of the Central Govt for passing the special resolution.

The Auditor concerned shall be given an opportunity of being heard. If the Auditor is removed, then a new Auditor has to be appointed by the Board due to the casual vacancy caused thereafter in the next General meeting called.

(ii) If the Auditor has resigned from the company, He shall file within a period of 30 days from the date of resignation, a statement in the form ADT 3 with the Company and the concerned Registrar. The Auditor shall indicate the reasons and other facts as may be relevant with regard to his resignation in his statement.

(iii) If the Auditor gives a qualified Report, the same has to be replied by the Board of Directors as annexure to Board's Reports and shall be circulated and placed in AGM.

Q6. Electro Ltd. is engaged in generation of electricity for captive consumption through Captive Generating Plant. The Company also maintain cost records in their books of account as required under Cost Records and Audit Rules. Mr. X, friend of Managing Director of

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the company, suggested name of his brother, who is a Cost Accountant in Practice, for the purpose of cost audit. However, the statutory auditor of the company, is of the view that the company is not legally required to conduct cost audit. Now, the Managing Director is in dilemma about the requirement of cost audit. Being an expert in cost and audit rules, you are required to guide in this regard. (Dec 2022)

Ans. Applicability of Provisions related to Cost Records and Audit: The provisions relating to cost records and audit are governed by section 148 of the Companies Act, 2013 read with the Companies, (Cost Records and Audit) Rules, 2014.The audit conducted under this section shall be in addition to the audit conducted under section 143. Rule 3 of the Companies (Cost Records and Audit) Rules, 2014 provides the classes of companies, engaged in the production of goods or providing services, required to include cost records in their books of account. However, the requirement for cost audit under these rules shall not be applicable to a company which is covered under Rule 3, and

- whose revenue from exports, in foreign exchange, exceeds 75 per cent of its total revenue; or
- which is operating from a special economic zone.
- which is engaged in generation of electricity for captive consumption through Captive Generating Plant.

In the given case, Electro Ltd. is engaged in generation of electricity for captive consumption through Captive Generating Plant. Therefore, Electro Ltd. is not required to conduct cost audit as it is falling under the exemption criteria. Hence, the opinion of statutory auditor of the company regarding non-applicability of cost audit is correct and the management should follow the same.

Q 7. M/s RST and Co., a firm of Chartered Accountants, comprising of three partners R, S and T are Statutory Auditors of 50 companies as per details given below:

- **Small Companies — 10**
- **Private Companies having paid-up share capital of less than ₹100 Crores — 20**
- **Private Companies having paid-up share capital of more than ₹ 100 Crores — 15**
- **Public Companies — 5**

Mr. R signs the Balance Sheet of 10 Small Companies and 10 Private Companies having paid-up share capital of less than ₹ 100 Crores.

Mr. S signs the Balance Sheet of 10 Private Companies having paid-up share capital of less than ₹ 100 Crores and 5 Private Companies having paid-up share capital of more than ₹ 100 Crores.

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Mr. T signs the Balance Sheet of 10 Private Companies having paid-up share capital of more than ₹ 100 Crores and 5 Public Companies.
What is the maximum number of audits that the firm as a whole can accept and what is the maximum number of audits each individual partner can accept? (June 2019)

Ans. Ceiling on Number of Audit: As per section 141(3)(g) of the Companies Act, 2013, a person shall not be eligible for appointment as an auditor if he is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such person or partner is at the date of such appointment or reappointment holding appointment as auditor of more than twenty Companies other than one person companies, dormant Companies, small Companies and private Companies having paid-up share capital less than ₹100 crores.

As per section 141(3)(g), this limit of 20 Company audits is per person. In the case of an audit firm having 3 partners, the overall ceiling will be 3 * 20 = 60 Company audits.

Sometimes, a chartered accountant is a partner in a number of auditing firms. In such a case, all the firms in which he is partner or proprietor will be together entitled to 20 Company audits on his account.
Therefore, maximum number of audits that the firm M/S. RST & CO. as a whole can accept is 60 and maximum number of audits each individual partner can accept is 20 i.e. other than one person Companies, dormant Companies, small Companies and private Companies having paid-up share capital less than ₹ 100 crores.

- In the given case, CA R is holding appointment in 20 Companies, i.e. 10 small companies and 10 private Companies having paid up share capital of less than ₹ 100 crores,
- whereas CA S is having appointment in 15 Companies i.e. 10 private Companies having paid up share capital of less than ₹ 100 crore and 5 private Companies having paid up share capital of more than ₹100 crore and
- CA T is having appointment in 5 public Companies and 10 private Companies having paid up share capital of more than ₹ 100 crores.
- In aggregate all three partners are having 50 audits.

As per section 141(3)(g) applying the above provisions, an auditor can accept more appointment as auditor = ceiling limit as per section 141(3)(g) - already holding appointments as an auditor.

Hence
(1) CA R can accept 20 more audits.
(2) CA S can accept 20 - 5 = 15 more audits and

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(3) CA T can accept 20 - 1 5 = 5 more audits.

As per the facts of the case, M/S. RST & CO. is already having 20 Company audits and they can also accept 40 more Company audits. In addition, they can also conduct the audit of one person Companies, small Companies, dormant Companies and private Companies having paid up share capital less than ₹ 100 crores.

As per section 141(3)(g) of the Companies act, 2013, M/S. RST &CO. can accept appointment as an auditor of 40 more Companies as under:

Total number of Audits available to the Firm	= 20 * 3 =	60
Number of Audits already taken by all the partners in their individual capacity	= 0 + 5+ 15 =	20
Remaining number of Audits available to the firm	=	40

Q8. Explain the particulars required to be contained in Directors Responsibility Statement as per provision of the Companies Act, 2013. (June 2019)

Ans. Contents of Directors Responsibility Statement [Section 134(5) of the Companies Act, 2013]:

The Directors' Responsibility Statement referred to in 134(3) (c) shall state that—

- in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation relating to material departures;
- the directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit and loss of the company for that period;
- the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- the directors had prepared the annual accounts on a going concern basis;
- the directors, in the case of a listed company, had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.
- Here, the term "internal financial controls" means the policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records,

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and the timely preparation of reliable financial information

- the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

Q9. Mr. Faithful is an auditor of Daga Ltd. While auditing the accounts of the Daga Ltd. for 2016- 2017, he finds manipulation of fund around Rs. 2 crore committed by the officers of the company against the Daga Ltd. Examine in the light of the Companies Act, 2013 the way frauds are required to be reported by Mr. Faithful and the duty of the Daga Ltd. in relation to reporting of such frauds. (Dec 2018)

Ans. Reporting of frauds by auditor and other matters : As per section 139 read with rule 13 of the Companies (Audit and Auditors) Rules, 2014, if an auditor of a company, in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of rupees one crore or above, is being or has been committed against the company by its officer or employees, the auditor shall report the matter to the Central Government.

The auditor shall report the matter to the Central Government as under:-

- The auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than two days of his knowledge of the fraud, seeking their reply or observations within forty-five days;
- On receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments (on such reply or observations of the Board or the Audit Committee) to the Central Government within fifteen days from the date of receipt of such reply or observations;
- In case the auditor fails to get any reply or observations from the board or the Audit Committee within the stipulated period of forty-five days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations ;
- The report shall be sent to the Secretary, Ministry of Corporate Affairs in a sealed cover by Registered Post with Acknowledgement Due or by Speed Post followed by an email in confirmation of the same;
- The report shall be on the letter-head of the auditor containing postal address, email address and contact telephone number or mobile number and be signed by the auditor with his seal and shall indicate his Membership Number; and
- The report shall be in the form of a statement as specified in Form ADT-4.
- Details of each of the fraud reported to the Audit Committee or the Board during the year

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shall be disclosed in the Board's Report by the company :-

a) Nature of Fraud with description;
b) Approximate Amount involved ;
c) Parties involved, if remedial action not taken; and
d) Remedial actions taken.

Q10. X Ltd. appointed CA Innocent as a statutory auditor for the company for the current financial year. Further the company offered him the services of actuarial, investment advisory and investment banking which was also approved by the Board of Directors. Comment (June 2018)

Ans. Services not to be rendered by the Auditor: Section 144 of the Companies Act, 2013 prescribes certain services not to be rendered by the auditor. An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be, but which shall not include any of the following services (whether such services are rendered directly or indirectly to the company or its holding company or subsidiary company), namely:

- accounting and book keeping services;
- internal audit;
- design and implementation of any financial information system;
- actuarial services;
- investment advisory services;
- investment banking services;
- rendering of outsourced financial services;
- management services; and
- any other kind of services as may be prescribed.

Further section 141(3)(i) of the Companies Act, 2013 also disqualify a person for appointment as an auditor of a company who is engaged as on the date of appointment in consulting and specialized services as provided in section 144.

In the given case, CA Innocent was appointed as an auditor of X Ltd. He was offered additional services of actuarial, investment advisory and investment banking which was also approved by the Board of Directors.

The auditor is advised not to accept the services as these services are specifically notified in the services not to be rendered by him as an auditor as per section 144 of the Act.

Q11. Interior Pvt. Ltd. is a manufacturing company having turnover of ₹ 210 crore but having maximum outstanding loan from public financial institution of ₹ 90 crore only during

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the preceding financial year. You are required to state whether the company is liable for internal audit as per the provisions of the Companies Act, 2013. (Dec 2017)

Ans. Applicability of Provisions of Internal Audit : As per section 138 of the Companies Act, 2013, read with rule 13 of Companies (Audit and Auditors) Rules, 2014 every private company shall be required to appoint an internal auditor or a firm of internal auditors, having-

- turnover of two hundred crore rupees or more during the preceding financial year; or
- outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year;

Thus, either of the condition is required to be satisfied for the applicability of the provision. The internal auditor to be appointed shall either be a chartered accountant whether engaged in practice or not or a cost accountant, or such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the companies auditor may or may not be an employee of the company.

Interior Pvt. Ltd. is having turnover of ₹ 210 crore and maximum outstanding loan from public financial institution of ₹ 90 crore during the previous financial year, here in the case, the turnover is over and above two hundred crore rupees i.e. either of the condition in respect of turnover or outstanding loans is satisfied.
Therefore the company is liable for internal audit as per section 138 of the Companies Act, 2013.

Q12. The auditors of a company refuses to make their report on the annual accounts of a company before it is signed on behalf of the Board of Directors. Advise the company. (June 2017)

Ans. The auditor is right. Theoretically, accounts are presented to auditors only after they are approved by the Board and signed by authorized persons. The auditor is only expected to submit his report on the accounts presented to him for audit after conducting an examination of the necessary documents, analyzing relevant information and test checking accounting records in order to be able to form an opinion of the financial statements presented to him.

In practice, the checking of accounts is already completed before accounts are approved by the Board. Auditor informally approves the draft account with notes etc., before the accounts are approved by the Board. However, auditor signs the accounts only after these are approved by Board and signed by persons authorized by Board of the company.

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Q13. What is the minimum contribution the companies are required to make towards CSR as per Companies Act, 2013. (June 2017)

Ans. Required minimum contribution of the Companies towards CSR:

- The Board of every company shall ensure that the company spends, in every financial year, at least two per cent of the average net profits of the company made during the three immediately preceding financial years, in pursuance of its CSR Policy.
- The company shall give preference to the local area and areas around it where it operates, for spending the amount earmarked for CSR activities.
- If the company fails to spend such amount, the Board shall, in its report, specify the reasons for not spending the amount.
- Companies may build CSR capacities of their own personnel as well as those of their implementing agencies through Institutions with established track records of at least three financial years. However, such expenditure shall not exceed five percent of total CSR expenditure of the company in one financial year.

EXTRA PRACTICE QUESTIONS – CS & CA PYQs

Q14. Where a company has a branch office either in India or abroad, the original books of account; records, etc. of the branch Office will have to be maintained at the registered office of the company.

Ans.: As per Section 128(1) of the Companies Act, 2013, in case Of branch, books of account can be kept at branch. However, proper summarized returns are required to be sent periodically by the branch office to the company at its registered office or the other place where books of account are kept.

Thus, it is incorrect to say that the original books of account, records of the branch office will have to be maintained at the registered office of the company.

Q15. Board of Directors of Anil Limited has decided not to preserve the books of account and other related records of accounts, for more than five years immediately preceding the relevant financial year of 2024-25 due to shortage of space in the office premises. Referring to the provisions of Companies Act, 2013, examine the validity of the board's decision.

Ans.: Preservation of books of account [Section 128(5)]: Every company is required to preserve books of account along with vouchers of last 8 financial years.

However, if an investigation has been ordered in respect of the company, the Central

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Government may direct to keep the books of account for longer period.
Thus, it is obligatory for every company to preserve books of account for at least 8 financial years.
Place at which books of account should be kept [Section 128(1)]: Every company shall prepare and keep books of account and other relevant books and papers and financial statement at its registered office. All or any of the books of account and other relevant papers may be kept at such other place in India as the Board of Directors may decide and where such a decision is taken, the company shall, within 7 days thereof, file with the Registrar a notice in writing giving the full address of that other place.
As per Rule 2A of the Companies (Accounts) Rules, 2014, the notice regarding address at which books of account may be kept shall be in Form AOC-5.

Considering above provisions, answer to given case is as follows:
(i) Decision of Board of Directors of Anil Limited not to preserve the books of account and other related records of accounts for more than 5 years is not valid.
(ii) If space is not available then company can keep the books of account at some other place by complying provisions as stated above.

Q16. Give your opinion whether the Registrar of Companies can take financial statement on cord even if it is not laid before annual general meeting.
Ans. Adoption and filing of financial statements with ROC [Section 137(1)]: A copy of the financial statements, including consolidated financial statement, along with all the documents which are required to be or attached to such financial statements, duly adopted at the AGM, shall be filed with the Registrar within 30 days of the date of AGM in prescribed manner along with prescribed fees.
As per Rule 12 of the Companies (Accounts) Rules, 2014:

- Every company shall file the financial statement with Registrar together with Form AOC-4 and the consolidated financial statement, with Form AOC-4 CFS.
- Filing of financial statements even if not adopted in AGM: Where the financial statements are not adopted at AGM or adjourned AGM, such unadopted financial statements along with the required documents shall also required to be filed with the Registrar within 30 days of the date of AGM.
- The Registrar shall take them in his records as provisional till the financial statements are filed with him after their adoption in the adjourned AGM for that purpose.
- Financial statements adopted in the adjourned AGM shall be filed with the Registrar within 30 days of the date of such adjourned AGM with prescribed fees.

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Q17. Ram is a Practicing Chartered Accountant and partner of two audit firms namely PYMG and YE. In the immediately preceding financial year, PYMG has completed its two terms of five consecutive years in Gayatri Pvt. Ltd having paid.up share capital of 60 Crore. Now Gayatri Pvt Ltd. is considering appointing YE Firm as its statutory auditor so can Gayatri Pvt Ltd. appoint YE Firm as its auditors?
What will be your answer in the following cases?
(i) If appointing company is a one person company.
(ii) If appointing company is a small company.

Ans.: Rotation of auditors [Section 139(2)]: No listed company or prescribed classes of companies shall appoint or re-appoint:
(a) An individual as auditor for more than one term of 5 consecutive years.
(b) An audit firm as auditor for more than two terms of 5 consecutive years.

Class of Companies to which provisions of rotation of auditors applies: The prescribed classes of companies shall mean the following classes of companies excluding One Person companies and small companies:
(a) All unlisted public companies having paid-up share capital of 10 Crore or more.
(b) All private limited companies having paid-up share capital of 50 Crore or more.
(c) All companies having paid-up share capital of below. threshold limit mentioned in (a) and (b) above, but having public borrowings from financial institutions, banks or public deposits of 50 Crore or more.

Further, as on the date of appointment no audit firm having a common partner or partners to the other audit firm, whose tenure has expired in a company immediately preceding the financial year, shall be appointed as auditor of the same company for a period of 5 years.

In view of the above, it is clear that appointment is applicable on all the companies including one person companies and small companies, however, the provisions of rotation of auditors shall not apply to one person companies and small companies.

Accordingly in the present case, the company is required to appoint and rotate the auditors on completion of the tenure.
Thus, Gayatri Pvt Ltd. cannot appoint YE Firm as auditor of the company.
(a) In case the appointee company is OPC, rotation of auditor does not apply and hence YE Firm can be appointed as auditor.
(b) In case the appointee company is Small Company, rotation of auditor does not apply and

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hence YE Firm can be appointed as auditor.

Q18. Shyamwas appointed as the statutory auditor of Ram Ltd. a non-government company at the Annual General Meeting held on 30th September, 2021. He has resigned after 2 months as he wanted to discontinue the practice and surrendered his Certificate of Practice and joined a Multinational Company. Explain how the new auditor will be appointed by Ram Ltd. and the conditions to be complied within this regard.

Ans.: The auditor of the company shall submit the resignation to Board of Director.
Resignation by Auditor [Section 140] - The auditor who has resigned from the company shall file within a period of 30 days from the date of resignation, a statement in prescribed form with the company and the Registrar.
In case of companies referred to in section 139(5) - Auditor appointed by Comptroller & Auditor General of India], the auditor shall also file such statement with the Comptroller & Auditor General of India, indicating the reasons and other facts as may be relevant with regard to his resignation.

Consent of auditor to his appointment [Section 139(1)] - Before appointment auditor is made, the written consent of the auditor to such appointment, and a certificate from him that the appointment, if made, shall be in accordance with the prescribed conditions, shall be obtained from the auditor. Certificate shall satisfies the criteria provided in section 141.

As per Rule 4(2) of the Companies (Audit & Auditors) Rules, 2014, notice of appointment of auditor is required to be filed in Form ADT-I.

Recommendations of audit committee [Section 139(11)]: If a company is required to constitute an Audit Committee u/s 177, all appointments, including the filling of a casual vacancy of an auditor shall be made after taking into account the recommendations of such committee.
As per Rule 8 of the Companies (Audit & Auditors) Rules, 2014, when an auditor has resigned from the company, he shall file a •statement in Form ADT-3.

Filling of casual vacancy of auditors [Section 139(8)(i)]: Any casual vacancy in the office of an auditor shall be filled by the Board of Directors within 30 days. If such casual vacancy is as a result of the resignation of an auditor, such appointment shall also be approved by the company at a general meeting convened within 3 months of the recommendation of the Board.

Q19. Vijay is an auditor of XYZ Ltd; a listed public company having paid up share capital of 10 Crore. Advise him as to whether he can render the following services, keeping in mind, the relevant provisions of Companies Act, 2013?

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(i) Vijay wants to conduct internal audit of XYZ Ltd. He also wishes to provide actuarial services to XYZ Ltd.
(ii) Vijay wishes to "design and implement one financial system'" and offer management services to ABC Ltd the holding company of XYZ Ltd.
(iii) What will be your answer in the above two cases if services are provided to PQR Ltd, a subsidiary company of XYZ Ltd.?

Ans.: Auditor not to render certain services [Section 144]: An auditor shall provide to the company only such other services as are approved by the Board of Directors or the audit committee.
Auditor shall not provide any of the following services whether such services are rendered directly or indirectly to the company, or its holding/subsidiary company:

a) Accounting and book keeping services
b) internal audit
c) Design and implementation of any financial information system
d) Actuarial services
e) Investment advisory services
f) Investment banking services
g) Rendering of outsourced financial services
h) Management services
i) Any other kind of prescribed services.

Therefore, the statement that a statutory auditor of a private company is restricted to take up any other assignment in the company is correct. It cannot take up assignment or provide services on the above mentioned matters being statutory auditor of the company.

Considering above provisions, answer to given case is as follows:
(i) Vijay cannot conduct internal audit of XYZ Ltd. or carryout actuarial services to XYZ Ltd.
(ii) Vijay cannot provide management services or implementation of financial system to ABC Ltd. as such service to the holding company is also not allowed.
(iii) Providing (i) and (ii) services above to PQR Ltd. the subsidiary company of XYZ Ltd. is also not allowed.

Q 20. Answer the following with regard to appointment of auditor.
(i) practicing chartered accountant holds shares in ABC nominal value of shares is ₹ 50,000. Whether ABC Ltd. can appoint him as auditor?
(ii) A, a practicing chartered accountant 'has business relationship with XYZ Hotels Ltd. The hotel used to provide services to A frequently on the same price as charged from other customers. Whether XYZ hotels Ltd. can appoint A as its auditor?

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(iii) X, a chartered accountant is working as a General Manager Accounts with ABC Ltd. Could X be appointed as auditor in ABC Ltd.?

Ans: Considering provisions of Section 141 (3) read with Rule 10 of the Companies (Audit & Auditors) Rules, 2014, answer to given cases as follows:

(i) A person or his relative or partner who is holding any security of or interest in the company or its subsidiary/holding/associate company is disqualified for being appointed as auditor.
Thus, Mr. X, Practicing Chartered Accountant who holds shares in ABC Ltd. cannot be appointed as Auditor of that company.

(ii) A person or a firm who, whether directly or indirectly, has business relationship with the company, or its subsidiary/holding/associate company is disqualified for being appointed as auditor. As per Rule 10(4) of the Companies (Audit & Auditors) Rules, 2014, the term "business relationship" shall be construed as any transaction entered into for a commercial purpose, except:

(a) Commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm under the Companies Act, 2013 and the Chartered Accountants Act, 1949 and the Rules or the Regulations made under those Acts.

(b) Commercial transactions which are in the ordinary course of business of the company at arm's length price — like sale of products or services to the auditor, as customer, in the ordinary course of business, by companies engaged in the business of telecommunications, airlines, hospitals, hotels and such other similar businesses.

Since the transaction is at the arm length price so Mr. A can be appointed as an auditor of XYZ Hotels Ltd.

(iii) An officer or employee of the company is disqualified for being appointed as auditor. Thus, Mr. X being employee of the company as he is working as a General Manager Accounts with ABC Ltd. so he cannot be appointed as Auditor of that company.

Q21.Advise whether the internal auditor is required to be appointed in the following scenarios;

Company	Status	PUC	Turnover	O/S Loans & Borrowings
Lala Ltd	Listed	49	195	99
Dilo Ltd	Unlisted Public	23	200	56
Wood Pvt. Ltd	Private	55	186	89

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Can the following. persons be appointed as internal auditor?
(i) President (HR)
(ii) DGM (Finance)

Ans- The following class of companies shall be required to appoint an internal auditor which may be either an individual or a partnership firm or a body corporate namely:-:-
(a) Every listed company;
(b) Every unlisted public company having –

i. Paid up share capital of fifty crore rupees or more during the preceding financial year; or
ii. Turnover of two hundred crore rupees or more during the preceding financial year; or
iii. Outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year; or
iv. Outstanding deposits of twenty five crore rupees or more at any point of time during the preceding financial year; and

(c) Every private company having –

i. Turnover of two hundred crore rupees or more during the preceding financial year; or
ii. Outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year.

Who can be an Internal Auditor-
(a) A Chartered Accountant or;
(b) A Cost Accountant or;
(c) Such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the Company.

Company	Applicability of Internal Audit	Reason
Lala Ltd	Yes	Every listed company is required to appoint internal auditor irrespective of paid-up capital , turnover and loans or borrowings.
Dilo Ltd.	Yes	Turnover is 200 Crore
Wood Pvt. Ltd.	No	Turnover and loans or borrowings do not limits.

Also , President (HR) and DGM Finance can be appointed as internal auditor.

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